



Figure 17-6

This high relative valuation of gold by modern standards fits the Elliott Wave outlook for decline. It does not *necessitate* a decline, as a continued headlong rush toward paper money destruction would be a sound reason for the market to place a high value on the metal. While the current valuation can thus be rationalized, the fact remains that of all basic *things*, gold is about the most expensive.

A return to even the *center* of gold's 200-year range of relative valuation would require a further drop of 50% relative to commodity prices. The outlook expressed in Chapters 14 and 18, moreover, is that from a high this year, dollar commodity prices will probably fall during a deflation lasting several years. If that conclusion is correct, then gold would have to drop far more than 50% in dollar terms to return to the center of its historical range.

Deflation will impact not only the price of gold, but its premium over commodities. The current premium is due primarily to inflation fears that became embedded in investors' psyches in the 1970s. Those residual fears are likely to dissipate rapidly when the deflation begins. A 55% to 80% drop in the price of gold from a high in the